

WHY MUTUAL FUNDS AND 401KS WON'T MAKE YOU RICH

In 2008, I went to a fixed-income investment seminar given by a major brokerage house. Fixed-income investments are instruments like municipal and corporate bonds. Approximately 50 people attended the standing-room-only seminar. I sat in the back and surveyed the crowd. Remove the gray hair, the socks-n-sandals combos, the canes, and the wheelchairs and what was left? Just me. I was the youngest person in the room (and heck, I'm not even that young anymore). How does a thirty-something get in a room full of retirees?

The people in the room were Slowlane success stories. They used time to accelerate wealth, and what it got them was old age. I don't say that to be mean-spirited to older generations, but to cast light on the point: Compound interest (401ks, mutual funds, the stock market) cannot accelerate wealth fast.

According to research and marketing firm The Harrison Group (Harrison-GroupInc.com), only 10% of penta-millionaires (net worth \$5 million) report that their wealth came from passive investments. Age data was not provided but you can guess that none of the 10% were under 30.

Think about it. Have you ever met a college student who got rich investing in mutual funds or his employer's 401K? How about the guy who bought municipal bonds in 2006 and retired in 2009? I wonder if that guy driving a \$1.2-million car can because of his well-balanced portfolio of mutual funds?

These people don't exist because the youthful rich are not leveraging 8% returns but 800%! Has your wealth ever grown by 800% in one year? Probably not, but guess what? MINE HAS because I'm not shackled to the Slowlane wealth equation. My wealth acceleration vehicle doesn't come from the stock market!

Yet, you've been domesticated to believe that these tools accelerate wealth. Mutual funds, stocks, bonds, 401ks, dollar cost averaging, and compound interest are perfunctory stratagem for wealth acceleration in the Slowlane. Unfortunately, without control or leverage, they're impotent wealth accelerators.

BUY-AND-HOLD IS DEAD

In college, I was taught "buy and hold" was the safe investment strategy that made millions. Buy stocks in solid companies, sit back and wait decades, and voilà, I'd be awash with millions. They'd shove that graph in your face and say "A \$10,000 Investment in XYZ Company in 1955 would be worth \$5 million today!" *Thankfully, I ignored it.*

In 1997, I opened a Roth IRA with \$1,000 and invested the monies in a growth mutual fund at a major investment firm. Yes, I let the "professionals" manage it for me. For the next decade, I didn't touch it. Essentially, I forgot about the account.

In the 10 years that followed, I made over \$10 million dollars by following a Fastlane roadmap and leveraging Fastlane strategy. And what about that Roth